Esso Petroleum Company, Limited
(Reg. No. 26538)

DIRECTORS

Mr. A P Swiger (Chairman) - Resigned 31 May 2004
Mr. R C Olsen (Chairman) - Appointed 1 June 2004
Mr. M S Giblin (Executive Director Finance) - Resigned 31 August 2003
Mr. J Selzer (Executive Director Finance) - Appointed 1 September 2003
Mr. A M F Todd (Executive Director Fuels Marketing)
Mr. D Carr (Executive Director Logistics & Refining) - Resigned 10 March 2003
Mr. T G Katinas (Executive Director Logistics & Refining) - Appointed 10 March 2003

SECRETARY

Mr. J N Boydell

REGISTERED OFFICE

ExxonMobil House
Ermyn Way
Leatherhead
Surrey KT22 8UX

AUDITORS

PricewaterhouseCoopers LLP
1 Embankment Place
London WC2N 6RH

REPORT OF THE DIRECTORS

for the year ended 31 December 2003

The Directors present their annual report and the audited accounts for the year ended 31 December 2003.

DIRECTORS

The Directors who held office during the year and to the date of this Report are listed on page 1.

DIRECTORS' INTERESTS

During the year and in the period to the date of this report none of the Directors had any interests in shares of any Exxon Mobil Corporation group undertakings ("the Group") such as would be required to be disclosed in accordance with the provisions of Schedule 7 of the Companies Act 1985.

REVIEW OF THE BUSINESS

The principal activities of Esso Petroleum Company, Limited ("the Company") are the refining, distribution and marketing of petroleum products in the United Kingdom. The principal subsidiaries of the Company at 31 December 2003 are listed in note 11 to the accounts.

During 2003, operating conditions continued to be intensely competitive. Profits were significantly improved versus 2002 however, driven by higher refining margins and continued reductions in operating expenditures.

The Company continued to meet the changing and wide ranging demands of its customers, whilst operating to the highest standards of operational integrity.

FUTURE DEVELOPMENTS

The Company intends to remain a major refiner and marketer of petroleum products in the United Kingdom.

RESULTS AND DIVIDENDS

Net profit for the year was £11.8 million (2002: £79.1 million loss) and £11.8 million was transferred to reserves (2002: £79.1 million was transferred from reserves).

No dividends were paid during the year (2002: £nil).

DONATIONS

During 2003 the Company made total donations and other support to the community of £731,068 (2002: £699,389). Of this, charitable donations amounted to £319,458 (2002: £288,277). There were no political donations.

RESEARCH AND DEVELOPMENT

The Company is able to call on the extensive research and development resources of its ultimate holding company, Exxon Mobil Corporation. This includes research into automotive and aviation fuels and engine lubricants and a comprehensive technical support service, covering crude oils, industrial fuels and lubricants, bitumens and greases. Research and guidance on environmental matters is also provided.

HEALTH AND SAFETY

The Company's policy is to conduct its business in a manner that protects the safety of the employees, others involved in its operations, customers and the public. The Company will strive to prevent all accidents, injuries and occupational illnesses through the active participation of every employee. The Company is committed to continuous efforts to identify and eliminate or manage health and safety risks associated with its activities.

In 2003, a Fawley Community Report was produced jointly by Esso Petroleum Company, Limited and ExxonMobil Chemical Limited. The report included information on the safety, health and environmental performance of the refinery and chemicals manufacturing plant at Fawley.

The company's key principles and commitments in the areas of safety, health and the environment, among others, are consistent with those of its ultimate holding company, Exxon Mobil Corporation. In May 2003, Exxon Mobil Corporation published a Corporate Citizen Report on its performance as a global corporate citizen.

Copies of these publications can be obtained by writing to: ExxonMobil Information Services, PO Box 94, Aldershot, Hampshire GU12 4GJ. Alternatively, they can be viewed on www.exxonmobil.co.uk on the publications page of the news room.

EMPLOYMENT POLICY

The Company is an equal opportunity employer and complies with all relevant legislation. It pays particular attention to measures which will encourage the employment and career development of both women and ethnic minorities.

The Company's policy is also to ensure that equal opportunities, including training, career development and promotion exist for disabled persons and employees who have become disabled while employed by the Company, having regard to their particular circumstances.

EMPLOYEE INVOLVEMENT

The Company has established over many years a comprehensive programme of employee communication and consultation. The Directors are committed to the continued involvement of employees in this way as an essential element in the Company remaining efficient and competitive. It is an integral part of management's responsibility to ensure that all employees understand the Company's objectives and the contribution that each individual can make to the achievement of those objectives

REPORT OF THE DIRECTORS

for the year ended 31 December 2003

ENVIRONMENTAL POLICY

The Company has a policy to ensure that it conducts its business in a manner that is compatible with the balanced environmental and economic needs of the community. Further, it is the Group's policy to comply with all applicable environmental laws and regulations and apply responsible standards where laws and regulations do not exist.

AUDITORS

The auditors, PricewaterhouseCoopers LLP, have indicated their willingness to continue in office. A resolution to reappoint PriceWaterhouseCoopers LLP as auditors will be proposed at the annual general meeting.

REPORT OF THE DIRECTORS

for the year ended 31 December 2003

STATEMENT OF DIRECTORS' RESPONSIBILITIES

Company law requires the Directors to prepare financial statements for each financial year that give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period.

The Directors are required to prepare financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The Directors confirm that suitable accounting policies have been used and applied consistently. They also confirm that reasonable and prudent judgements and estimates have been made in preparing the financial statements for the year ended 31 December 2003 and that applicable Accounting Standards have been followed.

The Directors are responsible for keeping proper accounting records that disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 1985. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

By Order of the Board,

JN Boydell

Secretary J N Boydell

15th October 2004

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF ESSO PETROLEUM COMPANY, LIMITED

We have audited the financial statements which comprise the profit and loss account, the balance sheet and the related notes to the accounts.

RESPECTIVE RESPONSIBILITIES OF DIRECTORS AND AUDITORS

The Directors' responsibilities for preparing the Annual Report and the financial statements in accordance with applicable United Kingdom law and accounting standards are set out in the statement of Directors' responsibilities.

Our responsibility is to audit the financial statements in accordance with relevant legal and regulatory requirements, and United Kingdom Auditing Standards issued by the Auditing Practices Board. This report, including the opinion, has been prepared for and only for the Company's members as a body in accordance with Section 235 of the Companies Act 1985 and for no other purpose. We do not, in giving this opinion, accept or assume responsibility for any other purpose or to any other person to whom this report is shown or in to whose hands it may come save where expressly agreed by our prior consent in writing.

We report to you our opinion as to whether the financial statements give a true and fair view and are properly prepared in accordance with the Companies Act 1985. We also report to you if, in our opinion, the Directors' report is not consistent with the financial statements, if the Company has not kept proper accounting records, if we have not received all the information and explanations we require for our audit, or if information specified by law regarding Directors' remuneration and transactions is not disclosed.

BASIS OF AUDIT OPINION

We conducted our audit in accordance with auditing standards issued by the Auditing Practices Board. An audit includes examination, on a test basis, of evidence relevant to the amounts and disclosures in the financial statements. It also includes an assessment of the significant estimates and judgements made by the Directors in the preparation of the financial statements, and of whether the accounting policies are appropriate to the Company's circumstances, consistently applied and adequately disclosed.

We planned and performed our audit so as to obtain all the information and explanations which we considered necessary in order to provide us with sufficient evidence to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or other irregularity or error. In forming our opinion we also evaluated the overall adequacy of the presentation of information in the financial statements.

OPINION

In our opinion the financial statements give a true and fair view of the Company's affairs as at 31 December 2003 and of its profit for the year then ended and have been properly prepared in accordance with the Companies Act 1985.

PricewaterhouseCoopers LLP

PricewaterhouseCoopers LLP
Chartered Accountants and Registered Auditors
1 Embankment Place
London WC2N 6RH

15 October 2004

PROFIT AND LOSS ACCOUNT

for the year ended 31 December 2003

	Note	2003	2002
		£m	£m
Continuing operations:			
Gross Turnover		9,284.7	8,803.1
Excise duties and VAT		(5,589.3)	(5,565.6)
Turnover	2	3,695.4	3,237.5
Cost of sales		(3,360.0)	(2,944.1)
Gross profit		335.4	293.4
Distribution costs		(284.0)	(289.8)
Administrative expenses		(22.0)	(67.6)
OPERATING PROFIT/(LOSS)		29.4	(64.0)
Income from shares in group undertakings		2.9	6.1
Income from fixed asset investments		1.3	0.6
Interest receivable and similar income	6	7.2	2.9
Interest payable and similar charges	7	(27.6)	(39.2)
PROFIT/(LOSS) ON ORDINARY ACTIVITIES BEFORE TAXATION	3	**13.2**	**(93.6)**
Taxation on profit/(loss) on ordinary activities	8	(1.4)	14.5
PROFIT/(LOSS) FOR THE FINANCIAL YEAR		**11.8**	**(79.1)**
AMOUNTS RELEASED TO/(FROM) RESERVES	19	**11.8**	**(79.1)**

The notes on pages 8 to 18 form part of the financial statements.

There is no material difference between the reported profit on ordinary activities before taxation and the historical cost profit on ordinary activities before taxation for the Company.

The company has no recognised gains and losses other than the profit/(loss) included above and therefore no separate statement of total recognised gains and losses has been presented.

Esso Petroleum Company, Limited

BALANCE SHEET

for the year ended 31 December 2003

	Note	2003	2002
		£m	£m
FIXED ASSETS			
Intangible assets	9	6.4	7.3
Tangible assets	10	1,254.9	1,275.6
Investments	11	9.7	23.2
TOTAL FIXED ASSETS		1,271.0	1,306.1
CURRENT ASSETS			
Stocks	12	297.4	336.9
Debtors falling due within one year	13	575.5	548.5
Debtors falling due after more than one year	13	88.4	119.9
Cash at bank and in hand		35.1	30.2
TOTAL CURRENT ASSETS		996.4	1,035.5
CREDITORS: AMOUNTS FALLING DUE WITHIN ONE YEAR	14	(679.6)	(752.6)
NET CURRENT ASSETS		316.8	282.9
TOTAL ASSETS LESS CURRENT LIABILITIES		1,587.8	1,589.0
CREDITORS: AMOUNTS FALLING DUE AFTER MORE THAN ONE YEAR	14	(727.2)	(727.9)
PROVISIONS FOR LIABILITIES AND CHARGES	16	(121.0)	(133.3)
NET ASSETS		**739.6**	**727.8**
CAPITAL AND RESERVES			
Called up share capital	17	573.4	573.4
Revaluation reserve	18	186.0	186.0
Capital reserve	18	3.3	3.3
Profit and loss account	18	(23.1)	(34.9)
TOTAL SHAREHOLDER'S FUNDS	**19**	**739.6**	**727.8**
Equity interests	19	394.6	382.8
Non equity interests	19	345.0	345.0
TOTAL SHAREHOLDER'S FUNDS	**19**	**739.6**	**727.8**

The notes on pages 8 to 18 form part of the financial statements.

These accounts were approved by the Board on 15th October 2004

Director Jane Selzer

J. SELZER.

NOTES TO THE ACCOUNTS

for the year ended 31 December 2003

1 ACCOUNTING POLICIES

These financial statements have been prepared in accordance with the Companies Act 1985 and applicable Accounting Standards in the United Kingdom and are based upon the historical cost convention, except where noted below with regard to fixed assets.

The principle accounting policies which have been applied consistently are set out below.

CONSOLIDATED ACCOUNTS

The Company is a wholly-owned subsidiary of ExxonMobil UK Limited, and is included in the consolidated financial statements of Esso UK Limited, which is incorporated in England and Wales. The Company has taken advantage of the exemption from preparing group accounts under FRS 2, Accounting for Subsidiary Undertakings.

CASH FLOW STATEMENT

The Company is a wholly-owned subsidiary of ExxonMobil UK Limited and is included in the consolidated financial statements of Exxon Mobil Corporation, which are publicly available. Consequently, the Company has taken advantage of the exemption from preparing a cash flow statement under the terms of FRS1 (revised 1996).

TURNOVER

Turnover is net of excise duty and VAT and is derived from the processing and sale of crude oil, natural gas, petroleum products and related goods and services, and is recognised on transfer of legal title.

FOREIGN CURRENCIES

Monetary assets and liabilities denominated in foreign currencies are translated at rates prevailing at the year end. Foreign currency transactions are translated at the rate ruling at the date of the transaction. Foreign currency translation differences are included in the appropriate profit and loss account categories.

FIXED ASSETS

Fixed assets are stated at cost except in the case of retail site land which is revalued periodically. Retail site land assets are revalued on a 5 yearly basis by a member of the Royal Institute of Chartered Surveyors with an internal review of the valuation made on an interim basis. An annual review is undertaken where there is evidence of a significant change in the revaluation.

Assets held under leases which transfer substantially all the benefits and risks of ownership to the lessee (finance leases) are included at a cost equivalent to the net present value of the lease payments. Purchased goodwill and software licenses are shown as intangible assets. All other fixed assets are considered to be tangible.

Premiums paid on operating leases for land and buildings have been capitalised and included within land and buildings.

Depreciation and amortisation are charged to reduce the cost of each group of assets to its residual value over its expected useful life.

All assets are depreciated or amortised by equal annual instalments as follows:

Buildings:	3.3% to 4% per annum
Plant and Equipment:	3.3% to 20% per annum
Leasehold land:	0.5% to 6.66% per annum

Assets under construction and freehold land are not depreciated.

GOODWILL

Goodwill arising on acquisitions of businesses and recorded in the balance sheet is amortised through the profit and loss account. The Company amortises such purchased goodwill by equal annual instalments over the purchased goodwill's expected useful life, which are between 10 and 20 years.

STOCKS

Stocks are stated at the lower of cost and net realisable value. Cost is calculated using the first-in-first-out method, including an appropriate proportion of overheads.

DEFERRED TAXATION

Provision for deferred tax is made in accordance with FRS19. Full provision is made for deferred tax liabilities net of deferred tax assets arising from timing differences between the recognition of gains and losses in the financial statements, and their recognition for tax purposes.

Deferred tax liabilities and assets are discounted.

NOTES TO THE ACCOUNTS

for the year ended 31 December 2003 (continued)

1 ACCOUNTING POLICIES (continued)

OPERATING LEASES

Operating lease payments are charged to the profit and loss account in the period to which they relate.

PENSION COSTS

The Company operates a defined benefit pension plan, the assets of which are held in a separate trustee administered fund. The pension cost is charged to the profit and loss account so as to spread the cost over the service lives of the employees. Experience variations are spread over the average remaining service lives of current employees. The pension cost is assessed in accordance with the advice of qualified actuaries, and full actuarial valuations are carried out every 3 years.

RESEARCH AND DEVELOPMENT EXPENDITURE

Research and development expenditure is charged to income as incurred.

2 SEGMENTAL ANALYSIS

The Company's activities consist solely of the processing and sale of crude oil, natural gas, petroleum products and related goods and services, and turnover is recognised on transfer of legal title.

	2003	2002
NET TURNOVER BY DESTINATION	£m	£m
United Kingdom	2,961.2	2,726.0
Europe	520.5	364.9
Rest of the World	213.7	146.6
TOTAL	3,695.4	3,237.5

The Company's turnover and profit before tax is all related to the oil and gas business and is all derived in the United Kingdom.

3 PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION

		2003	2002
		£m	£m
This is stated after charging the following amounts:			
Auditors' remuneration	- audit fees	0.2	0.2
	- non-audit fees	0.1	0.1
Operating leases	- other	16.4	17.4
Depreciation & amortisation	- owned assets	77.2	79.5
Research and development		6.0	5.3
Wages and salaries		93.8	99.2
Social security costs		7.8	7.8
Other pension costs		51.1	59.2

4 DIRECTORS' EMOLUMENTS

	2003	2002
DIRECTORS EMOLUMENTS - AGGREGATE	£000	£000
Pre-tax emoluments, excluding pension contributions	804	626
Company pension contributions to money purchase schemes	13	6
Amounts (excluding shares) receivable under long term incentive schemes	31	69

3 Directors (2002: 2), not including the highest paid Director, exercised share options in the year and nil Directors (2002: 4), including the highest paid Director, became entitled to receive shares under long term incentive schemes.

Retirement benefits are accruing to 5 Directors, including the highest paid director (2002: 4) under a defined benefit scheme, and 3 Directors, including the highest paid Director (2002: nil) under a money purchase scheme.

	2003	2002
DIRECTORS EMOLUMENTS - HIGHEST PAID DIRECTOR	£000	£000
Pre-tax emoluments, excluding pension contributions	355	242
Company pension contributions to money purchase schemes	9	5
Defined benefit pension scheme: accrued pension at year end	67	45
Amounts (excluding shares) receivable under long term incentive schemes	0	18

The above figures are based on a percentage split, according to time spent by each Director in Esso Petroleum Company, Limited, which is determined by each Director.

NOTES TO THE ACCOUNTS

for the year ended 31 December 2003 (continued)

5 EMPLOYEES

The average number of persons employed during the year was:	2003	2002
Marketing, Refining and Transportation	2,450	2,542
Upstream	864	821
TOTAL	**3,314**	**3,363**

The above numbers include employees seconded to other Group Companies as follows:	2003	2002
Assigned to other ExxonMobil downstream group undertakings	644	578
Assigned to other ExxonMobil upstream group undertakings	864	821
TOTAL	**1,508**	**1,399**

6 INTEREST RECEIVABLE AND SIMILAR INCOME	2003	2002
	£m	£m
Amounts receivable from other ExxonMobil group undertakings	5.1	2.1
Other	2.1	0.8
TOTAL	**7.2**	**2.9**

7 INTEREST PAYABLE AND SIMILAR CHARGES	2003	2002
	£m	£m
Amounts payable to other ExxonMobil group undertakings	27.6	38.7
Interest payable on bank and other borrowings:		
- wholly repayable within five years	0.0	0.5
TOTAL	**27.6**	**39.2**

8 TAXATION ON PROFIT/(LOSS) ON ORDINARY ACTIVITIES

	2003	2002
	£m	£m
CURRENT TAX		
Current year	23.6	0.0
Prior years	(10.5)	(0.5)
TOTAL CURRENT TAX	13.1	(0.5)
DEFERRED TAX		
Origination and reversal of timing differences	(11.7)	(14.0)
TOTAL DEFERRED TAX	(11.7)	(14.0)
TAXATION ON PROFIT/(LOSS) ON ORDINARY ACTIVITIES	**1.4**	**(14.5)**

FACTORS AFFECTING TAX CHARGE/(CREDIT) FOR THE PERIOD:	2003	2002
	£m	£m
Profit/(Loss) on ordinary activities before tax	13.2	(93.6)
Profit/(Loss) on ordinary activities multiplied by standard rate		
of corporation tax in the UK of 30% (2002: 30%)	4.0	(28.1)
Effects of:		
Depreciation for period in excess of capital allowances	6.3	10.9
Group relief surrendered for nil consideration	0.0	11.8
Adjustments to tax charge in respect of previous periods	(10.5)	(0.5)
Other items	13.3	5.4
Current Tax Charge/(Credit) for the Period	**13.1**	**(0.5)**

No provision has been made for deferred tax on gains recognised in revaluing fixed assets to their market value.

NOTES TO THE ACCOUNTS

for the year ended 31 December 2003 (continued)

9 INTANGIBLE ASSETS

	Goodwill	Other	Total
	£m	£m	£m
COST			
Balance at 1 January 2003	9.6	5.8	15.4
Additions	0.0	0.9	0.9
Disposals	0.0	(1.4)	(1.4)
BALANCE AT 31 DECEMBER 2003	**9.6**	**5.3**	**14.9**
AMORTISATION			
Balance at 1 January 2003	3.1	5.0	8.1
Charge for year	0.5	0.5	1.0
Disposals	0.0	(0.6)	(0.6)
BALANCE AT 31 DECEMBER 2003	**3.6**	**4.9**	**8.5**
NET BOOK VALUE AT 31 DECEMBER 2003	**6.0**	**0.4**	**6.4**
NET BOOK VALUE AT 31 DECEMBER 2002	**6.5**	**0.8**	**7.3**

10 TANGIBLE ASSETS

	Retail Sites	Other Land & Buildings	Plant & Equipment	Assets Under Construction	Total
	£m	£m	£m	£m	£m
COST OR VALUATION					
Balance at 1 January 2003	615.9	112.3	1,487.6	30.7	2,246.5
Additions	0.0	11.8	10.7	54.6	77.1
Disposals	(18.4)	1.6	(45.9)	(1.3)	(64.0)
Transfers	6.6	(5.4)	46.2	(47.4)	0.0
BALANCE AT 31 DECEMBER 2003	**604.1**	**120.3**	**1,498.6**	**36.6**	**2,259.6**
DEPRECIATION					
Balance at 1 January 2003	117.2	41.9	811.8	0.0	970.9
Charge for year	10.3	2.7	63.2	0.0	76.2
Disposals	(12.3)	1.5	(31.6)	0.0	(42.4)
BALANCE AT 31 DECEMBER 2003	**115.2**	**46.1**	**843.4**	**0.0**	**1,004.7**
NET BOOK VALUE AT 31 DECEMBER 2003	**488.9**	**74.2**	**655.2**	**36.6**	**1,254.9**
NET BOOK VALUE AT 31 DECEMBER 2002	**498.7**	**70.4**	**675.8**	**30.7**	**1,275.6**

Included within the Net Book Value of Retail Sites as at 31 December 2003 is Retail Land, with a historical cost of £165 million which was revalued on 31 December 1999 by a member of the Royal Institute of Chartered Surveyors employed by Esso Petroleum Company, Limited to a total open market value, for existing use, of £351 million.

The directors are not aware of any significant diminution in value of the revalued assets.

The net book value of Retail Sites and Other Land & Buildings comprises:

	2003	2002
	£m	£m
Freehold	497.7	529.5
Long leasehold	37.2	11.6
Short leasehold	28.2	28.0
TOTAL	**563.1**	**569.1**

NOTES TO THE ACCOUNTS

for the year ended 31 December 2003 (continued)

11 INVESTMENTS

SHARES IN SUBSIDIARY UNDERTAKINGS AND INVESTMENTS	2003 £m	2002 £m
Balance at 1 January 2003	23.2	23.2
Additions	0.0	0.0
Disposals	(13.5)	0.0
BALANCE AT 31 DECEMBER 2003	**9.7**	**23.2**

On 6 January 2003 Esso Petroleum Company, Limited the Company purchased 100% of the share capital of Walkready Limited, which had an allotted share capital of 1 ordinary share of £1. On 15th January 2003, Walkready Limited changed its name to ROC UK Limited, and allotted a further 999 ordinary shares of £1 each to the Company.

The liquidation of Cleveland Petroleum Company Limited, a 100% subsidiary of the Company, was finalised at the final shareholder meeting on 28 November 2003.

The liquidation of Mode Wheel Property Limited, a 100% subsidiary of the Company, was finalised at the final shareholder meeting on 2 May 2003.

On 1 August 2003 Esso Marine UK Limited, a 100% subsidiary of the Company, was sold to International Marine Transportation Limited.

Details of the principal companies in which the Company holds 20% or more of any class of equity share capital or 20% or more of the total allotted share capital as at 31 December 2003 are given below:

NAME OF COMPANY	Class of Shares	Proportion of Shares & Voting Rights
SUBSIDIARY UNDERTAKINGS		
Comma Oil & Chemicals Limited	Ordinary	100%
ExxonMobil Pension Trust Limited	Ordinary	100%
Mainline Pipelines Limited	Ordinary	65%
Redline Oil Services Limited	Ordinary	100%
Retail Petroleum Services Limited	Ordinary	100%
ROC UK Limited	Ordinary	100%
ASSOCIATED UNDERTAKINGS		
Gatwick Airport Storage and Hydrant Company Limited	Ordinary	25%
Heathrow Airport Fuel Company Limited	Ordinary	17%
Heathrow Hydrant Company Limited	Ordinary	20%
Heathrow Hydrant Operating Company Limited	Ordinary	23%
Heathrow Refueling Service Company Limited	Ordinary	35%
Manchester Airport Storage and Hydrant Company Limited	Ordinary	25%
Stanstead Fuelling Company Limited	Ordinary	30%

All the companies operate in the United Kingdom, are registered in England and Wales and have principal activities related to the oil and gas business.

12 STOCKS

	2003 £m	2002 £m
Raw materials and consumables	71.5	75.0
Work in progress	45.9	41.6
Finished goods and goods for resale	180.0	220.3
TOTAL	**297.4**	**336.9**

The replacement cost of all categories of stocks held by the Company at 31 December 2003 was £287.6 million (2002: £343.3 million).

NOTES TO THE ACCOUNTS

for the year ended 31 December 2003 (continued)

13 DEBTORS

	2003 £m	2002 £m
AMOUNTS FALLING DUE WITHIN ONE YEAR		
Trade debtors	321.7	336.2
Amounts owed by other ExxonMobil group undertakings	195.9	140.0
Amounts owed by subsidiary undertakings	6.4	9.3
Other debtors	27.3	31.6
Prepayments and accrued income	24.2	31.4
TOTAL	**575.5**	**548.5**
AMOUNTS FALLING DUE AFTER MORE THAN ONE YEAR		
Other debtors	9.3	13.3
Prepayments and accrued income	79.1	106.6
TOTAL	**88.4**	**119.9**

Amounts owed by group undertakings are unsecured trading balances payable by other than instalments.

14 CREDITORS

	2003 £m	2002 £m
AMOUNTS FALLING DUE WITHIN ONE YEAR		
Bank loans and overdrafts	5.8	2.3
Trade creditors	110.4	114.9
Amounts owed to other ExxonMobil group undertakings	155.4	274.6
Amounts owed to subsidiary undertakings	0.4	14.9
Taxation and social security	328.5	269.6
Other creditors	4.1	1.1
Accruals and deferred income	75.0	75.2
TOTAL	**679.6**	**752.6**
AMOUNTS FALLING DUE AFTER MORE THAN ONE YEAR		
Long and medium term loans (see note 15)	700.0	700.0
Accruals and deferred income	27.2	27.9
TOTAL	**727.2**	**727.9**

15 LONG AND MEDIUM TERM LOANS

	2003 £m	2002 £m
Amounts owed to other ExxonMobil group undertakings		
Repayable over 5 years	700.0	700.0
TOTAL	**700.0**	**700.0**

Amounts owed to other ExxonMobil group undertakings are unsecured and repayable other than by instalments and comprise two loans. One for £300.0m (2002: £300.0m) that bears interest at a rate of 3 month LIBOR + 0.0625% (2002: LIBOR + 0.0625%), and another for £400.0m (2002: £400.0m) that bears interest at a rate of 1 month LIBOR + 0.125% (2002: LIBOR + 0.125%).

16 PROVISIONS FOR LIABILITIES AND CHARGES

	Deferred tax £m	Other £m	Total £m
Balance at 1 January 2003	123.7	9.6	133.3
Utilised during the year	(23.2)	(3.3)	(26.5)
Charge/(credit) to the profit and loss account	11.7	2.5	14.2
BALANCE AT 31 DECEMBER 2003	**112.2**	**8.8**	**121.0**

	2003 £m	2002 £m
PROVISION FOR DEFERRED TAX		
Capital allowances in excess of depreciation	112.2	118.5
Other timing differences	0.0	5.2
TOTAL	**112.2**	**123.7**

NOTES TO THE ACCOUNTS

for the year ended 31 December 2003 (continued)

16 PROVISIONS FOR LIABILITIES AND CHARGES (continued)

Other provisions primarily relate to the cost of closure and remediation of sites closed prior to 31 December 2003. A provision of £4.7m (2002: £5.3m) has been recognised in relation to these costs, which are expected to be incurred within the next 5 years.

The provision for deferred tax is discounted as permitted by FRS 19. Discount rates used are the post-tax yields to maturity on government bonds with maturity dates similar to those of the deferred tax assets/liabilities. The average discount rate used is 3.27% (2002: 3.06%).

The deferred tax provision before discounting is £138.3m (2002: £152.7m) and after discounting is £112.2m (2002: £123.7m). No provision has been made for deferred tax on gains recognised in revaluing property to its market value.

17 CALLED UP SHARE CAPITAL

	2003	2002
	£	£
Authorised:		
229,000,000 ordinary shares of £1 each	229,000,000	229,000,000
500,000,000 redeemable shares of £1 each	500,000,000	500,000,000
TOTAL	**729,000,000**	**729,000,000**

	2003	2002
	£	£
Allotted, called up and fully paid:		
228,385,200 ordinary shares of £1 each	228,385,200	228,385,200
345,000,000 redeemable shares of £1 each	345,000,000	345,000,000
TOTAL	**573,385,200**	**573,385,200**

In 2003 nil (2002: 345,000,000) ordinary redeemable shares were issued for cash. The nominal value of these shares was nil (2002: £345,000,000) and the consideration received was nil (2002: £345,000,000).

The Redeemable Shares rank pari passu with the Ordinary Shares save for the redemption provisions in Article 3(E). Article 3(E) provides that 'the company shall have the right (subject to compliance in all respects with the requirements of the Companies Act 1985) to redeem on any date all of the Redeemable shares for the time being issued and outstanding by giving to the holders of the Redeemable Shares to be redeemed, notice in writing that such redemption is to be effected on the date specified in such notice.

On a return of capital on a winding–up or capital reduction or otherwise, the holders of the Redeemable Shares shall be entitled to the same rights on a return of capital as the holders of the Ordinary Shares of the Company.

Holders of the Redeemable Shares have the right to receive notice of, attend, speak and vote at a General Meeting of the Company.

Whenever the holders of the Redeemable Shares are entitled to vote on a resolution at a general Meeting of the Company, on a show of hands, every such holder who is present in person or by proxy shall have one vote in respect of each fully paid Redeemable Share registered in the name of such holder.

The Redeemable Shares may only be transferred with the consent of the Directors.

18 RESERVES

	2003
PROFIT AND LOSS ACCOUNT	£m
Balance at 1 January	(34.9)
Amounts transferred to reserves	11.8
BALANCE AT 31 DECEMBER	**(23.1)**

	2003	2002
REVALUATION RESERVE	£m	£m
BALANCE AT 1 JANUARY AND 31 DECEMBER	**186.0**	**186.0**

	2003	2002
CAPITAL RESERVE	£m	£m
BALANCE AT 1 JANUARY AND 31 DECEMBER	**3.3**	**3.3**

NOTES TO THE ACCOUNTS

for the year ended 31 December 2003 (continued)

19 RECONCILIATION OF MOVEMENT IN SHAREHOLDER'S FUNDS

			2003	2002
		NON		
	EQUITY	EQUITY	TOTAL	TOTAL
	£m	£m	£m	£m
Share of current year profit	4.7	7.1	11.8	(79.1)
Appropriation of distributable reserves to non equity shares	7.1	(7.1)	0.0	0.0
New share capital issued	0.0	0.0	0.0	345.0
Amounts transferred to / (from) reserves	11.8	0.0	11.8	265.9
Opening shareholder's funds as previously reported	382.8	345.0	727.8	599.5
FRS19 Prior year adjustment	0.0	0.0	0.0	(137.6)
Opening shareholder's funds as restated	382.8	345.0	727.8	461.9
CLOSING SHAREHOLDER'S FUNDS	**394.6**	**345.0**	**739.6**	**727.8**

20 CAPITAL COMMITMENTS

	2003	2002
	£m	£m
Estimated commitments under contracts for capital		
expenditure not provided for in these accounts amounted to	11.5	11.7
TOTAL	**11.5**	**11.7**

21 COMMITMENTS UNDER OPERATING LEASES

	2003	2002
At 31 December the Company had annual commitments	Land &	Land &
under non cancelable operating leases expiring as follows:	Buildings	Buildings
	£m	£m
- within one year	0.2	0.5
- in one to five years	1.9	1.1
- after five years	11.9	12.3
TOTAL	**14.0**	**13.9**

22 CONTINGENT LIABILITIES

	2003	2002
	£m	£m
Guarantees	2.2	0.8

The Company has given guarantees in respect of the house sale guarantee scheme for relocating employees. This involves guaranteeing the sale of the property at market value for employees who are relocating.

NOTES TO THE ACCOUNTS

for the year ended 31 December 2003 (continued)

23 PENSIONS

The Company is the principle employer company contributing to a funded defined benefit pension scheme in the UK. At the beginning of 2003, the market value of the underlying assets of the fund, attributable to the employees of the Company, deferred members and other beneficiaries was £1,222.7 million (2002: £1,435 million). The Actuaries are independent of the Company and their latest full actuarial valuation was carried out in 2002 on plan assets and liabilities as at 31 December 2001. Assets were valued using the Market Value based approach and liabilities were valued using the Projected Unit method. The valuation assumed that the investment returns would be 7.0%, salary growth 4.0% and inflation 2.5%. Allowance was made for Limited Price Indexing pension increases of 2.5%. The actuarial valuation showed that the assets were sufficient to cover 97% of the benefits that had accrued to members, after allowing for future increases in salaries.

Employer contributions to the fund were £69 million (2002: £97.1 million). In 2002 the company contributed £52 million to eliminate the deficit shown at the last valuation date. Employers normal contributions were increased from January 2003 in order to maintain the funding levels.

Total pension costs for 2003 were £101.8 million (2002: £66.4 million). The company recovers pension costs for those employees assigned to other companies in the ExxonMobil group. The main reason for the increase in costs is due to the amortisation of the loss on the assets arising during 2002. SSAP24 requires the deficit to be spread over the future working life of the active scheme members, to the extent not already disclosed in the balance sheet. A prepayment of £42.8 million (2002: £75.6 million) in respect of pension costs is included in debtors. The decrease in the prepayment is due to the increased costs as described above.

ADDITIONAL DISCLOSURES FOR FRS17

The last full valuation of the liabilities of the pension fund was conducted as at 31 December 2001. This has been updated by an independent, qualified actuary to 31 December 2003. Liabilities are estimated using the projected unit method. The value of the assets has been updated to 31 December 2003 using an audited market valuation.

The major assumptions used were:

	2003	2002	2001
Rate of increase in salaries	4.00%	4.00%	4.00%
Rate of increase in pensions in payment in excess of any Guaranteed Minimum Pension element (pre April 97)	1.70%	0.00%	0.00%
Rate of increase in pensions in payment in excess of any Guaranteed Minimum Pension element (post April 97)	2.50%	2.50%	2.50%
Discount rate	5.30%	5.50%	6.25%
Inflation assumption	2.50%	2.50%	2.50%

The assets in the scheme and the expected rates of return were:

	Expected long term rate of return at 31/12/2003	Value at 31/12/2003	Expected long term rate of return at 31/12/2002	Value at 31/12/2002	Expected long term rate of return at 31/12/2001	Value at 31/12/2001
		£m		£m		£m
Equities	8.55%	1,066.1	8.00%	897.5	7.25%	1,087.3
Bonds	5.58%	350.2	4.75%	330.8	4.50%	342.9
Cash & Other	0.0	(5.5)	0.00%	(5.6)	0.00%	4.4
Total		1,410.8		1,222.7		1,434.6

Balance sheet asset/(liability) as at 31 December:

	2003	2002	2001
	£m	£m	£m
Total market value of assets	1,410.8	1,222.7	1,434.6
Actuarial liabilities	(2,195.2)	(1,860.5)	(1,512.5)
Deficit	(784.4)	(637.8)	(77.9)
Irrecoverable surplus	0.0	0.0	0.0
Recoverable surplus	0.0	0.0	0.0
Pension liability	(784.4)	(637.8)	(77.9)
Related deferred tax asset	246.7	202.4	23.4
Net pension liability	(537.7)	(435.4)	(54.5)

The following amounts would have been recognised in the performance statements in the year to 31 December 2003 under the requirements of FRS17:

NOTES TO THE ACCOUNTS

for the year ended 31 December 2003 (continued)

23 PENSIONS (continued)

Components of pension cost for the year ended 31 December:	2003	2002
	£m	£m
Current service cost	(36.0)	(25.9)
Past service cost	(15.2)	(18.3)
Total charge to operating profit	(51.2)	(44.2)

Expected return on assets	86.5	93.5
Interest cost	(100.6)	(92.7)
Total amount charged to financing provisions	(14.1)	0.8

The following amounts would have been recognised in the Statement of Total Recognised Gains and Losses ("STRGL") under the requirements of FRS 17:

	2003	2002
	£m	£m
Actual return in excess of expected	130.1	(309.5)
Experience gains/(losses)	(10.5)	(75.8)
Change in actuarial assumptions	(270.0)	(228.3)
Actuarial gain or (loss) in STRGL	(150.4)	(613.6)

History of experience gains and losses for the year ended 31 December:

Difference between expected and actual return on scheme assets under the requirements of FRS 17.	2003	2002
Amount (£million)	130.1	(309.5)
Percentage of scheme assets	9.2%	25.3%

Experience gains and losses on scheme liabilities under the requirements of FRS 17.	2003	2002
Amount (£million)	(10.5)	(75.8)
Percentage of the present value of scheme liabilities	0.5%	4.1%

Total amount to be recognised in STRGL under the requirements of FRS 17.	2003	2002
Amount (£million)	(150.4)	(613.6)
Percentage of the present value of scheme liabilities	6.9%	33.0%

If the above amounts had been recognised in the financial statements, the Company's net assets and profit and loss reserve at 31 December would be as follows:

	2003	2002
	£m	£m
Net Assets	739.6	727.8
Pension asset SSAP24 basis	42.8	75.6
Net Assets excluding pension asset	696.8	652.2
Net pension (liability) FRS17 basis	(537.7)	(435.4)
Net assets including net pension (liability)	159.1	216.8
Profit and loss reserve	(23.1)	(34.9)
Pension reserve SSAP24 basis	42.8	75.6
Profit and loss reserve excluding pension asset	(65.9)	(110.5)
Pension reserve FRS17 basis	(537.7)	(435.4)
Profit and loss reserve including net pension (liability)	(603.6)	(545.9)

Analysis of the movement in the deficit during the year:

	2003	2002
	£m	£m
Deficit in the plan at the beginning of the year	(637.8)	(77.9)
Contributions paid	69.1	97.1
Current service cost	(36.0)	(25.9)
Past service cost	(15.2)	(18.3)
Other finance (charge)/income	(14.1)	0.8
Actuarial gain/(loss)	(150.4)	(613.6)
Deficit in the plan at the end of the year	(784.4)	(637.8)

NOTES TO THE ACCOUNTS

for the year ended 31 December 2003 (continued)

24 RELATED PARTY BALANCES

Esso Petroleum Company, Limited is a 100% subsidiary within the Exxon Mobil Corporation Group and, therefore, utilises the exemption contained in paragraph 3 (c) of FRS 8 Related Party Disclosures not to disclose any transactions with any entities that are part of that group. The address at which the Exxon Mobil Corporation consolidated financial statements are publicly available is detailed in note 25.

At 31 December 2003 the outstanding lease deposits paid to third parties by Esso Petroleum Company, Limited on behalf of directors were: A P Swiger £10,499 (2002: £10,499), M Giblin £6,600 (2002: £6,600), T G Katinas £3,012 (2002: £nil), and A Condray £nil (2002: £7,000). The lease deposits are part of the employee expatriate relocation scheme.

25 ULTIMATE HOLDING COMPANY

The immediate holding company is ExxonMobil UK Limited. The ultimate holding company and controlling party is Exxon Mobil Corporation, incorporated in New Jersey, USA. Exxon Mobil Corporation is listed on the New York Stock Exchange and its shares are widely dispersed. The smallest group of which the Company is a member and for which group accounts are prepared is Esso UK Limited. Accounts can be obtained from the Public Affairs Department, ExxonMobil House, Ermyn Way, Leatherhead, Surrey KT22 8UX. The largest group of which the Company is a member and for which group accounts are prepared is Exxon Mobil Corporation. Accounts can be obtained from Exxon Mobil Corporation, Shareholder Relations, Post Office Box 140369, Irving, Texas 75014 - 0369, USA.